

Table 9.8

| <i>Treasury Returns</i> |                  |                  |                  |                  |                  |                   |                       |               |
|-------------------------|------------------|------------------|------------------|------------------|------------------|-------------------|-----------------------|---------------|
|                         | <i>1–12 mths</i> | <i>1–2 years</i> | <i>2–3 Years</i> | <i>3–4 Years</i> | <i>4–5 Years</i> | <i>5–10 Years</i> | <i>&gt; 10 Years*</i> | <i>Stocks</i> |
| <i>Excess Returns</i>   |                  |                  |                  |                  |                  |                   |                       |               |
| 1952–1982               | 0.47%            | 0.56%            | 0.54%            | 0.36%            | 0.04%            | −0.01%            | −0.62%                | 5.93%         |
| 1983–2011               | 0.72%            | 1.58%            | 2.29%            | 2.93%            | 3.28%            | 3.96%             | 5.66%                 | 7.00%         |
| 2000–2011               | 0.53%            | 1.45%            | 2.43%            | 3.30%            | 4.03%            | 4.59%             | 7.18%                 | −0.39%        |
| 1952–2011               | 0.59%            | 1.05%            | 1.39%            | 1.60%            | 1.61%            | 1.91%             | 2.97%                 | 6.45%         |
| <i>Volatilities</i>     |                  |                  |                  |                  |                  |                   |                       |               |
| 1952–1982               | 1.03%            | 2.50%            | 3.66%            | 4.36%            | 4.96%            | 5.85%             | 8.48%                 | 14.09%        |
| 1983–2011               | 0.48%            | 1.50%            | 2.55%            | 3.54%            | 4.43%            | 5.71%             | 9.76%                 | 15.45%        |
| 2000–2011               | 0.41%            | 1.31%            | 2.35%            | 3.37%            | 4.34%            | 5.27%             | 10.41%                | 16.36%        |
| 1952–2011               | 0.81%            | 2.08%            | 3.18%            | 4.00%            | 4.73%            | 5.81%             | 9.27%                 | 14.76%        |
| <i>Sharpe Ratios</i>    |                  |                  |                  |                  |                  |                   |                       |               |
| 1952–1982               | 0.46             | 0.22             | 0.15             | 0.08             | 0.01             | 0.00              | −0.07                 | 0.42          |
| 1983–2011               | 1.51             | 1.05             | 0.90             | 0.83             | 0.74             | 0.69              | 0.58                  | 0.45          |
| 2000–2011               | 1.31             | 1.11             | 1.04             | 0.98             | 0.93             | 0.87              | 0.69                  | −0.02         |
| 1952–2011               | 0.73             | 0.51             | 0.44             | 0.40             | 0.34             | 0.33              | 0.32                  | 0.44          |

Data: CRSP Fama bond total returns, S&amp;P 500 total returns

\*Data missing Sep 1962 to Nov 1971